To enhance productivity, increase value addition & reduce logistics costs, it is imperative to encourage the setting up of market-specific crop value-chain clusters. Enabling a wider integration with global markets, these clusters can also be envisioned to serve as export corridors with fully integrated food and agricultural parks in India catering to specific markets. Such clusters can encompass large numbers of digitally empowered FPOs as also an ecosystem of micro-enterprises to provide agri-tech solutions through Farming as a Service, among others, to enhance efficiency & competitiveness of agriculture. Towards this, initiatives to foster the integrated development of aqua value chains, demand-responsive large-scale vegetable production clusters near consumption centres, as well as microenterprises such as Drone Didi are indeed welcome.

ITC in Agriculture

The ITC Next strategy leverages the Company's century-long relationship with farmers to promote value-added agriculture, accelerate digital adoption & build climate resilience. Your Company's world-class brands anchor demand-responsive agri-value chains that 'produce the buy', providing its businesses with unique competitive advantages.

As one of the largest procurers of agri-commodities, ITC supports 20 agri-value chains, sourcing over 3 million tonnes from 200 districts in 22 States.

Your Company exports agri-commodities to over 85 countries, linking farmers to global value chains.

> **"Leveraging the power of collectives, the ITCMAARS ecosystem now constitutes over 1,650 FPOs covering more than 1.5 million farmers. By 2030, we aspire to connect over 10 million farmers."**

At the core of your Company's interventions is ITCMAARS – the 'phygital' eco-system that enables wider agri-tech adoption, enhances efficiencies and access to markets as well as financial services.

Leveraging the power of collectives, the ITCMAARS ecosystem now constitutes over 1,650 FPOs covering more than 1.5 million farmers. By 2030, we aspire to connect over 10 million farmers.

The predictive, hyperlocal & dynamic advisories coupled with an input marketplace have enhanced net farmer returns upto 30% in a short span of time. Over 10,000+ soil tests, with personalised crop nutrition recommendations based on sophisticated AI-based algorithms, have been facilitated resulting in 10-15% reduction in fertiliser usage and 15-20% improvement in crop yields. Agri-tech solutions are also being progressed across multiple value chains including drone usage, which focuses on nano nutrients and crop protection. Through remote sensing, ITCMAARS has digitised 6 million acres covering 1,000 FPOs to help deliver contextual and crop stage-specific personalised advisories. Recently, ITCMAARS launched the world's first GenAI-based regional voice chatbot for farmers called 'KrishiMitra' that has been co-developed with Microsoft.

ITCMAARS also harnesses the collective knowledge garnered over decades to provide farmers best-in-class services. This includes the experience gained from your Company's Baareh Mahine Hariyali programme, which enabled substantial increase in farmer incomes.

The expertise gained has also enabled us to implement such best practices in 45 Aspirational Districts. Exclusive PPPs with NITI Aayog in 27 such districts have improved yields up to 30%, reduced cultivation costs by nearly 15%, thereby boosting farmer incomes up to 60%.

In addition, over 5 lakh farmers are trained annually in best practices through Farmer Field Schools and demonstration farms organised by ITC.

Enabling farmers to enhance their range of remunerative crops for both domestic and international markets, the ITC Next strategy has substantially scaled up its Value-Added Agricultural Products portfolio. This includes Spices, Coffee, Frozen Marine Products, Processed Fruits, Medicinal & Aromatic Plant Extracts, among others.

The state-of-the-art Spices processing facility in Andhra Pradesh leverages your Company's strong backward integration, identity-preserved sourcing, Organic and Integrated Crop Management programmes, as well as custody of supply chain.

ITC takes pride in being a farmer-centric organisation that contributes significantly to rural empowerment.

I am confident that your Company's impactful initiatives will continue to strengthen the competitiveness and resilience of India's agri sector.

ITC: Abiding Commitment to National Priorities

ITC draws inspiration from its abiding purpose to build an exemplary institution that is competitive, compassionate and a champion of change. This commitment drives Team ITC to relentlessly strive towards shaping an enterprise of pride and value for the nation, and I must commend all of them for their tremendous dedication, passion and commitment to our shared goals. In this unprecedented era of perma-change, it is our belief that such challenges provide a unique opportunity to reimagine the future, reinforce strategies to strengthen competitiveness and reposition the Company as a future-ready enterprise.

It is for this reason that the ITC Next strategy is being vigorously pursued to shape the next horizon of growth and profitability, particularly given the promising opportunities that will unfold in India over time. Strong structural foundations have been laid to give new wings to your Company's multiple drivers of growth, leveraging the mega trends of digital and sustainability, agile innovation, future-ready portfolio, empowered proneurs and strategic cost management. I am confident that the steps taken in recent years will enable your Company to create even more sustained value as we partner the nation in the journey to a *Viksit Bharat*.